DECCAN POLYFAB INDUSTRIES LIMITED

ANNUAL REPORT 2024-25 (FICTIONAL SAMPLE FOR SOFTWARE TESTING)

Deccan Polyfab Industries Limited is a FICTIONAL company created to demonstrate the Credit Intelligence Workbench. It manufactures woven polypropylene sacks, FIBC bulk bags and technical textiles at Chakan, Pune and Waluj, Aurangabad.

Any resemblance to a real entity is coincidental. All figures are invented and deliberately contain warning signs for training credit officers.

DECCAN POLYFAB INDUSTRIES LIMITED

INDEPENDENT AUDITOR'S REPORT

To the Members of Deccan Polyfab Industries Limited. Report on the Audit of the Standalone Financial Statements. Opinion: In our opinion the standalone financial statements give a true and fair view.

Emphasis of Matter: We draw attention to Note 7 regarding loans of Rs. 80.00 crore granted to Sahyadri Agro Trading Private Limited, an enterprise in which a promoter director is interested, which are repayable on demand and on which interest of Rs. Nil has been accrued. Management considers the amount fully recoverable. Our opinion is not modified in respect of this matter.

Key Audit Matters: Recoverability of trade receivables (Note 11) - receivables increased by 45% while revenue grew 8%; balances over 180 days amount to Rs. 64.00 crore.

Annexure to the Auditor's Report (Companies (Auditor's Report) Order, 2020): (iii) The Company has granted loans to a related party repayable on demand without specifying any terms or period of repayment aggregating Rs. 80.00 crore. (ix)(d) On an overall examination, funds raised on short-term basis aggregating Rs. 45.00 crore have been used for long-term purposes. (vii) There were delays in deposit of undisputed statutory dues of GST and TDS of Rs. 3.20 crore outstanding for more than six months.

DECCAN POLYFAB INDUSTRIES LIMITED

STANDALONE BALANCE SHEET AS AT MARCH 31, 2025

CIN: L25209MH2004PLC123456 (Rs. in Crore)

Particulars	Note	As at March 31, 2025	As at March 31, 2024
EQUITY AND LIABILITIES			
Equity			
Equity share capital	14	50.00	50.00
Other equity	15	420.00	380.00
Total equity		**470.00**	**430.00**
Liabilities			
Non-current liabilities			
Borrowings	16	380.00	260.00
Lease liabilities		10.00	12.00
Provisions	17	8.00	7.00
Deferred tax liabilities (net)	18	22.00	20.00
Current liabilities			
Borrowings	19	300.00	169.00
Trade payables	20	210.00	190.00
Other financial liabilities	21	40.00	35.00
Other current liabilities	22	25.00	22.00
Provisions	17	5.00	4.00
Current tax liabilities (net)		3.00	2.00
Total current liabilities		**583.00**	**422.00**
Total equity and liabilities		**1,473.00**	**1,151.00**
ASSETS			
Non-current assets			
Property, plant and equipment	3	420.00	410.00
Capital work-in-progress	3	95.00	90.00
Right-of-use assets	4	12.00	14.00
Other intangible assets	5	8.00	6.00
Investments	6	110.00	70.00
Loans	7	85.00	10.00
Other financial assets	8	10.00	9.00
Capital advances	9	30.00	8.00
Other non-current assets	9	15.00	12.00
Current assets			
Inventories	10	210.00	180.00
Trade receivables	11	290.00	200.00
Cash and cash equivalents	12	85.00	60.00
Bank balances other than above	12	35.00	30.00
Loans	7	25.00	15.00
Other financial assets	8	18.00	15.00
Other current assets	13	25.00	22.00
Total current assets		**688.00**	**522.00**
Total assets		**1,473.00**	**1,151.00**

DECCAN POLYFAB INDUSTRIES LIMITED

STANDALONE STATEMENT OF PROFIT AND LOSS FOR THE YEAR ENDED MARCH 31, 2025

CIN: L25209MH2004PLC123456 (Rs. in Crore)

Particulars	Note	As at March 31, 2025	As at March 31, 2024
Revenue from operations	23	1,350.00	1,250.00
Other income	24	18.00	12.00
Total income		**1,368.00**	**1,262.00**
Expenses			
Cost of materials consumed	25	820.00	760.00
Purchases of stock-in-trade		40.00	35.00
Changes in inventories of finished goods and work-in-progress	26	(20.00)	(10.00)
Employee benefits expense	27	95.00	88.00
Finance costs	28	62.00	45.00
Depreciation and amortisation expense	3	38.00	36.00
Other expenses	29	185.00	170.00
Total expenses		**1,220.00**	**1,124.00**
Profit before tax		**148.00**	**138.00**
Total tax expense	**30**	**37.00**	**35.00**
Profit for the year		**111.00**	**103.00**

DECCAN POLYFAB INDUSTRIES LIMITED

STANDALONE CASH FLOW STATEMENT FOR THE YEAR ENDED MARCH 31, 2025

CIN: L25209MH2004PLC123456 (Rs. in Crore)

Particulars	Note	As at March 31, 2025	As at March 31, 2024
A. Cash flow from operating activities			
Profit before tax		**148.00**	**138.00**
Adjustments for depreciation, finance costs and other items		95.00	76.00
Increase in trade receivables		(90.00)	(15.00)
Increase in inventories		(30.00)	(12.00)
Income taxes paid		(36.00)	(34.00)
Net cash generated from operating activities		**35.00**	**120.00**
B. Cash flow from investing activities			
Purchase of property, plant and equipment		(48.00)	(40.00)
Investment in associate		(40.00)	(10.00)
Loans given to related parties		(85.00)	(10.00)
Interest received		1.60	1.20
Net cash used in investing activities		**(171.40)**	**(58.80)**
C. Cash flow from financing activities			
Proceeds from borrowings (net)		249.00	(20.00)
Finance costs paid		(62.00)	(45.00)
Dividend paid		(25.60)	(26.20)
Net cash from financing activities		**161.40**	**(91.20)**
Net increase in cash and cash equivalents		25.00	(30.00)

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NOTES TO STANDALONE FINANCIAL STATEMENTS

Note 24 Other income: Interest income Rs. 1.60 crore (previous year Rs. 1.20 crore); miscellaneous income Rs. 16.40 crore.

Note 16 Borrowings: Term loans from State Bank of India Rs. 220.00 crore at 9.25% secured by first charge on fixed assets; term loan from Bajaj Finance Rs. 160.00 crore at 13.5%. Short-term borrowings include working capital from Bank of Baroda Rs. 180.00 crore, inter-corporate deposits Rs. 60.00 crore at 15%, and current maturities of long-term debt Rs. 60.00 crore.

Note 35 Related party transactions: Sahyadri Agro Trading Private Limited (enterprise controlled by promoter): loans given Rs. 80.00 crore (closing), purchases Rs. 210.00 crore, sales Rs. 150.00 crore. Deccan Packaging LLP (KMP interested): capital advance Rs. 22.00 crore. Key managerial personnel remuneration Rs. 6.40 crore.

Note 36 Contingent liabilities and commitments: Corporate guarantee given to banks on behalf of Sahyadri Agro Trading Private Limited Rs. 180.00 crore; disputed GST demand Rs. 48.00 crore; income tax demands under appeal Rs. 32.00 crore. Total contingent liabilities Rs. 260.00 crore.

Note 37: The promoters have pledged 38.5% of their shareholding with lenders of group companies.